added tax (VAT). When the taxation of goods and services gets merged into one single system of taxation, it becomes goods and services tax (GST).

Allocation of Taxation Powers on Goods and Services

Taxation of goods or commodities goes back in history. Salt was taxed even during Mauryan and Mughal times. British also started taxing salt very early. Salt taxation became the foundation of excise taxation on commodities. Excise duty on silver was imposed in 1930. More commodities like iron and steel, matches and sugar were brought under excise tax sometime in 1934. The legislative framework for commodities taxation took more concrete shape around this time. The Provisional Collection of Taxes Act was enacted in 1931, the Tariff Act was legislated in 1934 and the Central Board of Revenue was constituted the same year.

The Central Excises and Salt Act was enacted in 1944. Excise duty on salt was removed in 1946. However, the word salt was removed from the Act only in 1996 by the Finance Act, 1996, and the Act became known as the Central Excise Act, 1944. Customs duties were collected under the Provisional Collection of Taxes Act, 1931, until the Customs Act was enacted in 1962. The Government of India Act, 1935, made sales tax the subject of provincial jurisdiction.

When the Indian Constitution divided the subjects of taxation between the Union and the states, the duties of excise on tobacco and other goods manufactured or produced in India, except duties on alcohol for human consumption and opium, Indian hemp and other narcotic drugs and narcotics, but including medicinal and toilet preparations containing alcohol or any of these other substances mentioned, were allocated to the Union of India. Tax on the sale or purchase of newspapers was also placed in the Central government’s domain. Duties of customs, including export duties, were also allocated to the Union.